Odisha: From Poverty to Progress — A Journey of Resilience and Reform

ODISHA

Odisha, an Indian state on the eastern coast of India, is the 8th-largest state by area and the 11th-largest by population. It has a coastline of 485 km along the Bay of Bengal. It was the poorest state in 1999.

Why were they poor?

Odisha had seen many wars fought for the state of Odisha between the Mughals, British, and Maratha, which is why no one took them seriously as just wars were taking place nearby, which is why they were never developed, and poverty increased in the state during the Maratha's rule. Because it was a smaller part of a larger province, the British assigned some parts of the state to the Bengal province and others to the Madras province. Odisha was closer to the Bay of Bengal, so it led to more exports of textiles in 1633, and the East India Company opened its second factory in the Balasore district of the state. There were exports of clothes from the state, but new factories were getting built in Bengal, which is why the already established factories in the state were given less importance and were not manufacturing anything. They had to face extreme weather on October 31, 1831, which overtook the salt manufactures of Balasore and Cuttack; around 2,13,837 maunds of salt were swept away in the sea. They had to face famine in 1886, which killed around 10 lakh people in the state. One of the main reasons for this was the poor government policies that were in place at the time, as output declined due to increased exports and food grain hoarding. There were also inadequate relief efforts from the British, which made the condition worse for them.

During the 1980s, the Kalahandi district of Odisha saw extreme poverty that led to multiple deaths due to starvation, which attracted multiple media outlets around the world. Kalahandi saw seven PMs visit the district, promising a better living standard and great development, but it is not due to happen until now.

The main reasons for this are the depletion of forests, an increase in migration, and less support from the government for farmers growing crops. It was so hard to live there, like, "Those who have been able to find jobs earn from 75 paise to a royal Rs 3.50 a day." Two out of every three children born die in infancy. There is fever, cholera, dysentery, and an ever-increasing number of respiratory diseases. Nothing could be worse; no one could be more miserable. But in the once-royal district of Kalahandi in Odisha, there is something much worse: women have now begun to abandon and sell their children because they can no longer afford to feed them.

In 1999, Odisha had to face the deadliest cyclone in the 20th century, which devastated the state's economy. The blocks of Erasma and Kujang in Jagatsinghpur were the worst affected. The storm affected 12.9 million people in total; estimates for the storm's death toll vary significantly, but the India Meteorological Department indicated that 9,887 people were killed, with an additional 40 people missing and 2,507 others injured. Most of these deaths occurred in Jagatsinghpur, where 8,119 were killed. The Centre for Research on the Epidemiology of Disasters' EM-DAT disaster database indicates that 10,915 people were killed. However, other estimates suggested that the death toll may have been as high as 30,000. The storm's effects damaged 1.6 million homes across 14,643 villages and 97 blocks. In turn, 2.5 million people were marooned. A total of 18,420 km2 (7,110 sq. mi) of crop land was impacted, and 444,000 livestock casualties were also reported.

Naveen Patnaik's initiatives

Naveen Patnaik was elected as the 14th Chief Minister of Odisha in 2000, and he is the state's longest-serving Chief Minister, having served for 23 years. He established the Biju Janata Dal, which was named after his late father, Biju Patnaik. During his early days, he was known as a "man who couldn't care," who was known for his private life and having celebrity friends, but he has changed, and now his main goal is to make Odisha a better state to live in. His initiatives played a crucial role in the growth of Odisha.

1: Mission Shakti

is a self-help mission for empowering women through the promotion of Women Self-Help Groups (WSHGs) to take up various socio-economic activities that was launched in the state on March 8, 2001, on the eve of International Women's Day. Mission Shakti has the clear objective of empowering women through gainful activities by providing credit and market linkage. Empowerment of women through WSHGs under Mission Shakti is a flagship programme of the government. It is envisioned that as time passes, an increasing number of women will join a WSHG (Women Self Help Groups).

Major Areas of Focus

- **Formation and strengthening of WSHGs: There are around 6 lakh women-led self-help groups (WSHGs) formed and nurtured by Mission Shakti in Odisha, comprising around 70 lakh women members.**
- **Institutionalization of WSHGs by federating them at the gramme panchayat, block, and district levels**
- **Building up the capacity of community-based organisations (from SHGs to Federations)**
- **Strengthening livelihoods and consolidating the efforts through aggregation to ensure the sustainability of the initiatives**
- **Ensuring market linkage to SHG products across the state**
- **Creating awareness among women on social entitlements and promoting inter-agency convergence for livelihood promotion**
- **Financial inclusion: Initiatives such as the provisioning of seed money and a revolving fund for WSHGs, the facilitation of credit linkage, the implementation of an interest subvention scheme, the financial strengthening of BLFs through a revolving fund, and financial literacy programmes across the state all aim at the financial inclusion of women.**
- **Mission Shakti has been playing both the roles of a whistle-blower and a torchbearer for women's empowerment. It provides a platform to bring out the changes intended for a just society where women can also have a say.**

2. Disaster Management-

It was established on December 28th, 1999, as a response to the deaths caused by the 1999 super cyclone. Their responsibilities are:

- **It carries out disaster mitigation activities such as mock drills and evacuation in vulnerable areas.**
- **Carry out reconstruction activities while coordinating other departments.**
- **Work with aid agencies, United Nations agencies, and international, national, and state-level non-governmental organisations for disaster management activities.**
- **work with other state- and national-level relevant organisations for disaster management.**

- **Prepare and issue guidelines for disaster management for local administrations and other organizations.**
- **It also carries out pre-emptive disaster mitigation activities such as the construction of cyclone shelters, early warning systems, and preparedness drills.**
- **In addition to major natural disasters like cyclones, floods, and earthquakes, the Odisha State Disaster Management Authority is also the primary organisation for capacity improvement to face events such as lightning, heat waves, whirlwinds, tornadoes, heavy rain, drowning, boat accidents, and snake bites.**

The disaster team learns from this kind of disaster and sees how they can improve themselves, as their special relief commissioner said, "The summer cyclone Fani in 2019 was something that the state witnessed after 50–60 years." We learned a lot from Fani, as it was difficult to manage. "We learn from every storm and our mistakes." We are very open-minded, and we try to incorporate these things into our next-year planning and capacity development. "We are on a constant learning curve." This is also one of the reasons they want to be more than just management that works on paper. In the 2013 cyclone, they evacuated 1 million people, which led to UN recognition.

3. Government help

The government offers food and grains to the poor to reduce hunger and starvation throughout their public distribution system; lakhs of people get rice and cooked food from their Aahar centres. They are also known for many progressive and flagship schemes like Kalia, Balaram, Matarata, BSKY, Odisha Millet Mission, Mission Shakti, Social Security Pension, Subsidized Food Grain, Provision of Housing, Drinking Water, and Electricity, etc.

Drawbacks in the state

Under Naveen Patnaik, the economy grew by 8% from 2003 to 2007, owing to an increase in the tertiary sector, but economic growth is insufficient; social development is also required for an economy to grow. There is always inequality, like the tertiary sector growth only seen in coastal areas of Odisha.

In a report, it showed that where there is more mining, the areas are poorer than non-mining areas due to corruption, as only some people get their hands on the resources and use them for their own good, leading to fewer resources reaching the other areas of Odisha.

There is no opposition from the people of Odisha to getting proper basic needs, and one of the main reasons can be that they know Naveen Patnaik has done so much for the state, so give him some time to develop, but Odisha is still extremely poor and has not reduced poverty much in the rural area. There is no political activism in the state; this could be because Odisha is a feudal state where only the rich and powerful rule and the poor are unconcerned because their leader only thinks about them. We can see this in politics, business, or the media. Most of the media are linked to Naveen Patnaik, which is why he can maintain such political power in the state. It is also stated that "this government is run by bureaucrats, not politicians." Despite healthy finances, the state is failing to provide basic services to its people. Its schools and hospitals are badly understaffed. Jobs are not easy to find, and because of this, young people are getting disillusioned with education itself. Welfare programmes like the National Rural Employment Guarantee Scheme work only on paper.

Where are they now?

Odisha is a state rich in minerals and metals, with a fifth of India's coal, a quarter of its iron ore, a third of its bauxite, and all its chromite. Odisha's primary industries are manufacturing, mining, quarrying, electricity, gas, water supply, and construction. It has 10% of India's production capacity in steel, it is the top aluminium-producing state in India, and two of the largest aluminium plants in India are in Odisha. Mining contributed an estimated 6.31% to the GSDP. Odisha has a working population of 17,541,589, of which 61% are main workers and the rest are marginal workers. 33.9% of the total working female population are main workers. 61.8% of the working population is engaged in agricultural activities. Odisha's real GDP (gross domestic product) is likely to have grown by 10.1% in FY21, compared with 8.8% for India. Between FY16 and FY20, Odisha's overall economic growth was 8.7%, compared to the national average growth rate of 6.6%. The industrial sector in Odisha grew significantly higher at 10.3% when compared to 5.4%. A decade ago, the per capita income in the state was Rs 48,499—about Rs 4,000 per month. Now, the same stands at Rs 10,615—a whopping rise of more than 250%. From April 2021 to January 2022, the average headline CPI inflation in the state was a low 2.7%, compared to 5.3% at the all-India level. Rural inflation in Odisha was 2.3%, while the average inflation in urban areas was 3.8% during this period. During FY16 to FY22, Odisha's per capita income grew by 11.6% in comparison to 8% for India in current terms. Female labour force participation in the state, at 33.1%, was higher than the all-India average. 30% of FY20.339 projects with a cumulative investment of Rs 8.47 trillion in 29 sectors have been approved by the government, which will enable the creation of employment for 3.5 lakh persons. Odisha has also established several higher educational institutions, such as AIIMS and IIT, to attract the skilled workforce required by new businesses. Odisha is also one of the top FDI destinations in India.

For far too long, entrepreneurs were worried about coming to the state because of its backward infrastructure and worries over getting skilled workers. Odisha has worked to address this in recent years by building highways connecting remote mineral-rich districts to ports, as well as the twin cities of Cuttack and Bhubaneswar, which have air and rail connectivity. The state has a power surplus and has 11 percent of the entire nation's water resources (the presence of the massive Hirakud dam helps). These are statistics that automatically entice investors. Odisha has also established several higher educational institutions, such as AIIMS and IIT, to attract the skilled workforce required by new businesses. The "smart city" tag the capital Bhubaneswar got also helps in a big way. Mukesh Ambani commented in his speech at the conclave that mobile data usage in Odisha is among the highest in the country.

With presentations, promotions, ancillary events, and even a hashtag, the Make in Odisha Conclave often resembled more of a product launch event for a global consumer company than an investment summit organised by an Indian state. With other events like the Hockey World Cup taking place in the state and a calendar of events to keep Odisha highlighted on the national stage, the idea is to provide a positive spin on a state that has traditionally been considered backward. In the words of principal secretary Chopra, "The focus of the conclave was not just to propel industrial development further but to provide a platform to engage (investors) in the next phase of growth." It is working.

My views

Odisha has grown drastically in recent years, which should be appreciated for once they were known as just one of the poorest states with no one wanting to help them. They have risen against all odds and fought their way here, but there are changes like they need to be more politically

decentralized, as they need to bring in more ministers from the poorer side and give them some power. They should also give the already established ministers proper job profiles and tell them what they must do. They should look beyond mining, as mining is not the only resource they have; they can export to make a living, and projects like this will not create many jobs for local people. They also must encourage missions; not just forming them would help; they must encourage and put more efforts into them.

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